
Question 1

The Resource-Based View defines resources as the tangible and intangible assets that a firm controls, which can be leveraged to achieve competitive advantage. Edith Penrose calls these _____ resources.

Options:

- sticky
- controllable
- strategic
- critical

Answer: sticky

Question 2

In the five-forces framework, the growth rate of an industry will affect

Options:

- the rivalry among existing competitors
- the suppliers power
- the barriers to entry
- the threat of new entrants

Answer: the rivalry among existing competitors

Question 3

A fair price is reached when the parties to the transaction have equal _____ and it divides value created _____ to all parties involved.

Options:

- purchasing power, equally
- pricing power, unequally
- bargaining power, equally
- purchasing power, unequally

Answer: bargaining power, equally

Question 4

A fair price in a non-competitive transaction between a buyer and a seller

Options:

- is always less than the price produced by a competitive market.
- is always the outcome of a bargaining process
- splits equally value created between the buyer and the seller.
- maximizes the value created by the transaction

Answer: splits equally value created between the buyer and the seller.

Question 5

Assume two firms, each able to produce at zero cost without capacity constraints. The market consists of two buyers that are willing to pay at most \$1 for the product made by firm one, and at most \$1.5 for the product made by firm two. Each buyer can consume one unit. What is the value created and prices?

Options:

- $P_1 = P_2 = 1$, value created = \$3
- $P_1 = P_2 = \$1.5$, value created = \$3
- $P_1 = 0$, $P_2 = 50$ cents, Value created = \$2
- $P_1 = 0$, $P_2 = 50$ cents, Value created = \$3

Answer: $P_1 = 0$, $P_2 = 50$ cents, Value created = \$3

Question 6

Competition among firms in an industry can be thought of as a process whereby firms, through their prices and product attributes, submit _____ to consumers.

Options:

- quality products
- value propositions
- consumer surplus bids
- value created products

Answer: consumer surplus bids

Question 7

Which of the following is NOT one of the VRIO properties of resources and capabilities?

Options:

- Inimitable
- Rare
- Ordinary
- Valuable

Answer: Ordinary

Question 8

What set of industries below is characterized by weak horizontal differentiation?

Options:

- Utilities, consumer electronics, and basic chemicals
- Luxury brands, automobiles and consumer electronics
- Pharmaceuticals, basic chemicals, and automobiles
- Basic chemicals, agriculture, and commodities

Answer: Basic chemicals, agriculture, and commodities

Question 9

Which part(s) of the Five Forces Framework will be used to analyze the following scenario: In the smartphone industry, several dominant players control the market. These companies invest heavily in research and development, marketing, and brand building to maintain their market share. However, with the rise of smaller, innovative companies producing budget-friendly smartphones with comparable features, consumers now have more options to choose from at various price points. This has resulted in frequent price wars and aggressive marketing.

Options:

- Threat of substitute products or services
- Bargaining power of suppliers and intensity of competitive rivalry
- Threat of new entrants, bargaining power of buyers, and intensity of competitive rivalry

Answer: Threat of new entrants, bargaining power of buyers, and intensity of competitive rivalry

Question 10

Which of the following terms best describes the ability of a firm to maintain and adapt the capabilities that are the basis of its competitive advantage?

Options:

- Dynamic efficiency
- Network effects
- Radical change
- Dynamic capability

Answer: Dynamic capability

Question 11

Which of the following statements best characterizes vertically differentiated products?

Options:

- Vertically differentiated products exhibit identical quality levels across different brands or options.
- Vertically differentiated products vary in quality and prices.
- Vertically differentiated products are characterized by identical prices but varying quality levels.
- Vertically differentiated products are those that consumers make purchasing decisions solely based on brand recognition.

Answer: Vertically differentiated products vary in quality and prices.

Question 12

How did the BCG use the concept of the learning curve?

Options:

- To determine market demand
- To calculate production costs
- To assess the synergies among business units under the same corporate structure

- To evaluate and analyze the business units of a corporation

Answer: To evaluate and analyze the business units of a corporation

Question 13

Which of the following statements best explains the intensity of competition within strategic groups?

Options:

- Competition within strategic groups is more intense than competition in the entire industry due to the lack of differentiation among firms within the same group.
- Competition within strategic groups is less intense than competition in the entire industry because firms tend to collaborate to overcome mobility barriers.
- Competition within strategic groups is heightened by mobility barriers that discourage firms from changing groups, thus intensifying rivalry within the group.
- Competition across strategic groups is more intense as firms strive to overcome mobility barriers.

Answer: Competition within strategic groups is heightened by mobility barriers that discourage firms from changing groups, thus intensifying rivalry within the group.

Question 14

The distribution of value created between consumers and firms depends on

Options:

- Willingness-to-pay
- Price
- All of the above
- Cost

Answer: Price

Question 15

Consumer surplus increases when

Options:

- Demand becomes more inelastic
- Supply becomes more elastic
- Supply becomes more inelastic
- Demand becomes more elastic

Answer: Supply becomes more elastic

Question 16

What is true about economic rents and quasi-rents?

Options:

- Economic rents are lower than quasi-rents
- Economic rents are associated with absolute fixed supply of inputs
- Quasi-rents are associated with fixed demand of inputs
- Economic rents are greater than quasi-rents

Answer: Economic rents are associated with absolute fixed supply of inputs

Question 17

Michael Porter's view generally assumes that resources can be acquired _____ which allows firms to design activities that support either cost leadership or differentiation strategies.

Options:

- in open markets
- with mergers or acquisitions
- from partners
- through negotiations

Answer: in open markets

Question 18

Mobility barriers are:

Options:

- barriers related to the human tendency to reject unfamiliar or negative information.
- barriers which constrain firms to enter foreign markets.

- barriers which prevent firms with different business models within an industry to compete directly
- barriers between countries that prevent multinational firms from crossing borders.

Answer: barriers which prevent firms with different business models within an industry to compete directly

Question 19

Value created _____

Options:

- establishes an opportunity for the profit in value chain and ensure profitability
- would be lost if a value chain participant drops out from value creation
- is a sufficient but not a necessary condition for profitability
- is necessary but not a sufficient condition for profitability

Answer: is necessary but not a sufficient condition for profitability

Question 20

Consider one buyer, one supplier, and two identical firms. The buyer has willingness to pay equal to \$100. The supplier has an opportunity cost of \$70. What is the total added value of the two identical firms?

Options:

- \$70
- \$30
- \$100
- \$0

Answer: \$0

Question 21

What triggers price wars and shrinking profit margins in an industry?

Options:

- Government subsidies for the industry

- Increased consumer switching cost
- Entry of additional firms into the industry
- Increased differentiation among products

Answer: Entry of additional firms into the industry

Question 22

Which of the following is a capability

Options:

- Superior location of a factory
- Marketing skills
- Brand-name reputation
- Patents and trademarks

Answer: Marketing skills

Question 23

What term describes the differentiation of a product when it is unambiguously better or worse than competing products?

Options:

- Vertical differentiation
- Non-price differentiation
- Horizontal differentiation
- Strong differentiation

Answer: Vertical differentiation

Question 24

Company Y excels in customer service and product innovation. How can it use these capabilities to build a sustainable competitive advantage?

Options:

- By focusing on a differentiation strategy
- By acquiring new capabilities

- By acquiring new resources
- By focusing on a cost leadership strategy

Answer: By focusing on a differentiation strategy

Question 25

The resource-based view theory of the firm implies that _____ is the foundation of a sustainable competitive advantage

Options:

- All of the above
- Economies of scale
- product differentiation
- Absence of well-functioning markets for resources and capabilities

Answer: Absence of well-functioning markets for resources and capabilities

Question 26

Consider a non-competitive transaction with two sellers S and one buyer B. Willingness to accept is: $S_1 = S_2 = \$10$. B has the following willingness to pay: \$15 for S1 and \$13 for S2. What is the added value of S2?

Options:

- \$5
- \$3
- 0
- \$2

Answer: 0

Question 27

What is the mathematical relationship that captures value appropriation by the firms in an industry?

Options:

- Supplier's profits + Consumer's Surplus

- Value Created - Opportunity cost
- Profits - (Supplier's profits + Consumer's Surplus)
- Value Created - (Supplier's profits + Consumer's Surplus)

Answer: Value Created - (Supplier's profits + Consumer's Surplus)

Question 28

An inelastic demand shows a product that consumers derive _____ relative to a product with elastic demand at the same price level.

Options:

- the same economic value
- less economic value
- less consumer surplus
- greater economic value

Answer: greater economic value

Question 29

Assume that F1 and F2 can produce an identical product at a cost of 50 cents per unit. Each firm can produce only one unit and there is no collusion. The market consists of two buyers that consume one unit each and are willing to pay \$1 for the product. What is the total value created and price?

Options:

- Value created = \$1, Price = \$1
- Value created = 50 cents, Price = \$1
- Value created = \$1, Price = 50 cents
- Value created = 50 cents, Price = 50 cents

Answer: Value created = \$1, Price = 50 cents

Question 30

In a market characterized by perfect competition, how does bargaining power manifest?

Options:

- Bargaining power is determined by the ability of firms to differentiate their products.
- Bargaining power is concentrated in the hands of a few dominant firms due to economies of scale.
- Bargaining power is non-existent as prices are dictated solely by market forces.
- Bargaining power is evenly distributed among all market participants.

Answer: Bargaining power is non-existent as prices are dictated solely by market forces.

Question 31

Consider a perfectly competitive market at equilibrium. The equilibrium price defines

Options:

- how value created is divided between consumers and firms.
- how economic value is divided between consumers and firms.
- how economic value is divided between firms and their suppliers.
- how value created is divided display between firms and their suppliers.

Answer: how value created is divided between consumers and firms.

Question 32

When a resource is valuable and rare it leads to

Options:

- both economic rents and sustained competitive advantage
- economic rents
- quasi-economic rents
- sustained competitive advantage

Answer: quasi-economic rents

Question 33

Consider a company A that produces a product that consumers are willing-to-pay a maximum price of \$80 and it charges a price of \$75. This company competes with company B which produces a substitute product that consumers are willing-to-pay a maximum price of \$70. What is the maximum price that company B can charge?

Options:

- \$60
- \$55
- \$65
- \$70

Answer: \$65

Question 34

The necessary condition for a transaction to take place requires that

Options:

- $WTP = WTA$
- WTP must be greater than WTA
- WTP must be greater or equal to WTA
- WTA must be greater than WTP

Answer: WTP must be greater or equal to WTA

Question 35

Which type of product differentiation is best characterized by various broad segments of consumers having different tastes and preferences?

Options:

- Specialized products
- Horizontally differentiated products
- Vertically differentiated products
- Niche products

Answer: Horizontally differentiated products

Question 36

What statement is correct about the NAICS and the GICS industry classification systems?

Options:

- NAISC relies on the similarity of capital to classify firms in the same industry.
- GISS uses a production-oriented conceptual framework to classify firms in the same industry.
- NAICS uses similarity in raw materials inputs and capital equipment to classify firms in the same industry.
- GICS uses the source of revenue to classify firms in the same industry.

Answer: GICS uses the source of revenue to classify firms in the same industry.

Question 37

A company is considering entering a new industry with many product varieties and intense competition. Which of the following strategies would be most appropriate for the company to gain a competitive advantage in this industry?

Options:

- Blue Ocean strategy
- Cost leadership strategy
- Differentiation strategy
- Focus strategy

Answer: Blue Ocean strategy

Question 38

Which of the following is not a common characteristic of capabilities?

Options:

- They are embedded in what Richard Nelson and Sidney Winter call routines
- They are valuable across multiple products or markets
- They can persist even through individuals leave the organization
- They are easy to reduce to simple algorithms or procedures guides

Answer: They are easy to reduce to simple algorithms or procedures guides

Question 39

If buyers and sellers participating in a transaction face no competition, they have _____ which _____.

Options:

- the same added value, is equal to total value created.
- the same added value, is less than the total value created.
- different values added, their sum is less than the total value created.
- different values added, their sum is equal to total value created.

Answer: the same added value, is equal to total value created.

Question 40

When the CR4 of an industry is equal to 50, it signal that the industry structure is

Options:

- between perfect competition and monopolistic competition
- closer to perfect competition
- closer to monopoly
- between monopolistic competition and oligopoly

Answer: between monopolistic competition and oligopoly
